EUROPEAN
COMMISSION

Brussels, 27.8.2025
C(2025) 5801 final

ANNEX

**ANNEX**

***to the***

**COMMISSION IMPLEMENTING DECISION**

**approving the first release of funds to the Republic of Moldova under the Reform and Growth Facility for the Republic of Moldova**

**Annex to the Commission Implementing Decision approving the first release of funds to the Republic of Moldova under the Reform and Growth Facility for the Republic of Moldova**

**Assessment of the Conditions for Payments – Republic of Moldova**

## 1. EC assessment of the preconditions for Union support

Effective democratic and rule of law mechanisms

Moldova continues to implement justice sector reforms, in particular through the vetting process, to strengthen the integrity and independence of the judiciary.

The functioning of democratic institutions is mostly satisfactory. Moldova shows a continued commitment to implement reforms, despite hybrid attacks from Russia and its proxies on democratic institutions and their attempts to undermine social cohesion in the country. Moldova has taken significant steps to structure the work of the government to make tangible progress on EU integration. As part of the EU accession process, Moldova has adopted the PAR and Rule of law Roadmaps that set out tangible reform plans.

The Parliament has an oversight role over the executive. Accountability lines between the Parliament and other institutions are established, with the Parliament appointing state officials at the head of central administrative institutions and independent institutions. Further efforts are needed to increase its transparency, accountability, integrity, and overall effectiveness. This includes enhancing the track record of parliamentary oversight of independent institutions and ensuring the timely and comprehensive publication of parliamentary activities and decisions, as well as meaningful public consultations on draft laws and accompanying documents. Moldova should continue to enhance its use of parliamentary oversight tools.

Presidential elections and a referendum on EU accession were held in autumn 2024. Moldova's legal and institutional framework is conducive to the organisation of a democratic electoral process. Further efforts are needed to address challenges identified by OSCE/ODIHR and the Venice Commission and to align with EU legislation and standards. Efforts to strengthen the resilience of the electoral process against illicit financing and other forms of interference should adhere to European standards and best practices.

Freedom of expression is generally ensured. Moldova has a pluralistic media environment and has progressed in the area of freedom of expression. The Audiovisual Media Service Code was amended in July 2023 to reduce the dominant audience share in order to reduce market concentration and promote a more diverse and balanced media landscape. Amendments to the Code were adopted by the Parliament in July 2025 to further align with the EU *acquis*, ensuring the independence of the Audiovisual Council and public broadcaster, regulating online content, combating disinformation, and closing advertising market loopholes. Financial sustainability remains a significant challenge for independent media organisations.

Respect for all human rights obligations

The legislative and institutional framework on fundamental rights is largely in place and Moldova continues to meet its international obligations on human rights. Institutional capacity and implementation need to be strengthened to guarantee the full enjoyment of human rights in practice. Mechanisms to prevent and counter sexual violence are in place. Concerning

implementation, access of victims to specialised support services, including shelters and psychological support, should be improved. The legislative framework of Moldova safeguards the rights of people belonging to minorities. Moldova should continue support for intercultural dialogue and efforts to include ethnic minorities in public administration.

***The preconditions are confirmed as met.***

**General conditions**

**Macro-financial stability**

Macroeconomic and fiscal developments

The economic recovery, which started in 2023, came to a halt in 2024, with real GDP growth of 0.1%, primarily due to a sharp drop in agricultural output following a summer drought. The contraction remained contained thanks to a rebound in private consumption underpinned by rising real wages as well as strong investment growth. According to the Commission Spring 2025 Forecast, growth is set to gradually regain traction in 2025.

Moldova's current account balance continues to be structurally affected by its heavy reliance on volatile agricultural exports and vulnerability to fluctuations in prices of imported energy sources. By the end of 2024, the current account deficit expanded to 16% of GDP, up from 11.5% in 2023, reflecting falling exports to Ukraine (mostly minerals) and a sharp drop of agricultural exports. Remittances continued to play a significant role but fell in 2024 compared to 2023. Similarly, the inflows of Foreign Direct Investment as share of GDP declined in 2024.

Moldova's foreign currency reserves have stabilized, following significant volatility during 2022, and increased further in 2023-2024, reaching EUR 5.6 billion by end-2024. Thus, reserves accounted for 6.7 months of import of goods and services and 200% of the IMF Assessing Reserve Adequacy (ARA) metric end of 2023.

Following a disinflationary period, inflation rebounded again in the second half of 2024 due to higher food prices, partly attributed to the drought in summer 2024 and an increase in energy prices. Inflation peaked at 9.1% in January 2025 due to a sharp increase in electricity prices following the cut-off of Russian gas to the Transnistrian region. The National Bank of Moldova (NBM) shifted to monetary tightening, with two subsequent increases of the base rate up to 6.5% by February 2025. The government responded swiftly to rising energy prices and increased energy support spending, supported by EU grants, to mitigate the impact on businesses and households.

Moldova's public debt-to-GDP ratio remains relatively low but increased by 3.5 pps. to 38.2% by end-2024. The fiscal deficit declined to 4% of GDP in 2024 supported by stronger revenues, under-execution of investments, and better-targeted energy support. The revised 2025 budget projects deficit to increase to 5.1% of GDP due to higher spending supported by the Reform and Growth Facility. The most recent Debt Sustainability Analysis by the IMF (December 2024) confirms that Moldova is at a low risk of external debt distress and at moderate risk of overall public debt distress and Moldova's public debt is considered sustainable with current debt carrying capacity assessed as strong.

The mainly foreign-owned banking sector remains stable as capital adequacy, liquidity, and profitability remained strong in 2024.

The table below provides the selected macroeconomic indicators as per latest Commission Forecast from May 2025[1].

| | 2024 | | | Annual percentage change | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | bn MDL | Curr. prices | % GDP | 05-20 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 |
| GDP | | 323.8 | 100.0 | : | 13.9 | -4.6 | 1.2 | **0.1** | **0.9** | **2.8** |
| Private Consumption | | 281.2 | 86.8 | : | 17.2 | -5.0 | -0.8 | **2.7** | **2.4** | **3.3** |
| Public Consumption | | 57.9 | 17.9 | : | 3.0 | 10.7 | -4.0 | **-3.6** | **1.0** | **2.0** |
| Gross fixed capital formation | | 64.7 | 20.0 | : | 1.9 | -10.5 | 0.0 | **8.0** | **4.0** | **5.0** |
| Exports (goods and services) | | 101.7 | 31.4 | : | 17.5 | 29.7 | 4.8 | **-5.2** | **3.9** | **5.4** |
| Imports (goods and services) | | 185.4 | 57.3 | : | 21.2 | 18.2 | -5.1 | **5.1** | **6.0** | **5.3** |
| GNI (GDP deflator) | | 326.6 | 100.9 | : | 12.2 | -6.4 | 2.4 | **-0.6** | **1.0** | **3.0** |
| Contribution to GDP growth: | | Domestic demand | | 2.1 | 13.5 | -5.2 | -1.4 | **3.2** | **3.1** | **4.3** |
| | | Inventories | | -0.7 | 5.4 | 2.1 | -3.0 | **1.7** | **0.0** | **0.0** |
| | | Net exports | | -0.3 | -6.0 | -1.4 | 5.6 | **-4.8** | **-2.2** | **-1.4** |
| Employment | | | | : | 1.1 | 2.2 | 2.8 | **-3.7** | **2.5** | **1.4** |
| Unemployment rate (a) | | | | : | : | : | : | **4.0** | **3.7** | **3.6** |
| Compensation of employees / head | | | | : | : | : | : | : | : | : |
| Unit labour costs whole economy | | | | : | : | : | : | : | : | : |
| Saving rate of households (b) | | | | : | : | : | : | : | : | : |
| GDP deflator | | | | : | 6.4 | 18.9 | 9.3 | **6.6** | **7.8** | **5.9** |
| Consumer price index | | | | 7.0 | 5.1 | 28.7 | 13.4 | **4.7** | **7.3** | **4.7** |
| Terms of trade goods | | | | : | 2.6 | -3.2 | -9.1 | **1.7** | **0.0** | **0.0** |
| Trade balance (goods) (c) | | | | -28.1 | -30.6 | -35.9 | -29.2 | **-30.9** | **-32.0** | **-32.0** |
| Current-account balance (c) | | | | -4.0 | -9.7 | -16.6 | -11.4 | **-16.0** | **-15.6** | **-15.4** |
| General government balance (c) | | | | -2.0 | -1.9 | -3.2 | -5.8 | **-3.7** | **-5.0** | **-5.1** |
| Structural budget balance (d) | | | | : | : | : | : | : | : | : |
| General government gross debt (c) | | | | 34.4 | 33.6 | 35.0 | 34.9 | **38.2** | **39.8** | **40.9** |

(a) as % of total labour force. (b) gross saving divided by adjusted gross disposable income. (c) as a % of GDP. (d) as a % of potential GDP.

Relations with international partners and macroeconomic policy

The authorities are taking some steps in implementing reforms supported by their international partners. Moldova completed a macro-financial assistance operation of EUR 295 million with the final disbursement in December 2024, following the successful implementation of all policy conditions. On 17 December 2024, the IMF completed the sixth review under the ECF/EFF, and the second review under Resilience and Sustainability Facility (RSF) with Moldova. In response to concerns about the independence of the central bank following the abrupt dismissal of the Governor of the National Bank of Moldova, additional amendments to the central bank law have been drafted to strengthen the institutional set-up of the National Bank of Moldova, their adoption by Parliament remains pending.

Moldova has partially implemented the recommendations from the 2024 joint conclusions and submitted its second Economic Reform Programme in January 2025[2]. Following the Commission's and ECB's assessment[3] and discussions at the Economic Policy Committee and the Economic and Financial Committee in April 2025, the 2025 joint conclusions were endorsed at the Economic and Financial Dialogue on 13 May 2025. They include concrete recommendations for Moldova to ensure macroeconomic and financial stability, fiscal sustainability and to follow sound monetary policies[4].

The macroeconomic policy mix has contributed to sustaining macroeconomic stability amidst the several recent crises, including the latest energy price increase, but public investment remains very low, and the country is vulnerable to external shocks. The key risks for macroeconomic stability include the impact of Russia's war of aggression against Ukraine, further energy price hikes given the country large energy import dependency, Moldova's weak

[1] https://economy-finance.ec.europa.eu/document/download/e9de23c8-b161-40d0-9ad7-e04a25500023_en?filename=ip318_en.pdf#page=168
[2] https://www.mf.gov.md/sites/default/files/Economic%20reform%20programme%202025-2027.pdf
[3] https://economy-finance.ec.europa.eu/document/download/95a3fa43-999a-44a6-9090-e432355f28f1_en?filename=ip319_en.pdf
[4] https://data.consilium.europa.eu/doc/document/ST-8819-2025-INIT/en/pdf

export base, contributing to a large current account deficit, and a low level of preparedness to adapt to climate change. Challenges also remain related to public spending efficiency.

**Based on the analysis, it is concluded that the general condition related to macro-financial stability is fulfilled.**

**Public financial management (PFM)**

The Government's Public Financial Management (PFM) reform agenda is set out in the 2023-2030 Public Finance Management Reform Strategy which was adopted in spring 2023. The strategy was adopted following the 2021 Public Expenditure and Financial Accountability (PEFA) assessment, published in July 2022, and in addition to PEFA was based on already available Public Investment Management Assessment (PIMA) and independent evaluations in Debt Management, Taxation, Procurement and Public Investment Management. The EU-MD PFM Policy Dialogue took place in Chisinau on 18 June 2025; operational conclusions are being finalised before being published on Ministry of Finance website.

**Summary Appraisal PFM progress and reforms**

The Ministry of Finance, its constituent departments and other key institutions remain committed to PFM reforms. The country has demonstrated progress in PFM and Domestic Revenue Mobilization (DRM) through the following key reforms:

1. Steps taken to enable future reforms in Public Investment Management through the development and establishment of a national procedure for the appraisal of public investment projects. The automated procedure through a web-based application, increasing efficiency and transparency in allocating government resources to public investment, is operational and is being applied.
2. Enhancement of debt management and development of domestic securities market, in particular with the issuance of the first ever 10-year bond in the domestic market.
3. Improvements in public financial control and audit including enhancement of technical capacity in the Central Harmonisation Unit (CHU) and selected line ministries, including in the Ministry of Energy.
4. Revision of the strategic framework for the Supreme Audit Institution and enhancement of capacities in financial and compliance audits;
5. Enhancement of the parliamentary oversight of the budget through the establishment of a standing Public Accounts Committee (Committee for control of public finances) and public hearings of the reports of the Court of Accounts;
6. Improved scoring in latest available Open Budget Index;
7. Budget circular mandating institutionalisation of Gender responsive budgeting from 2025.
8. Anti-fraud system is established.

Some of the important improvements in PFM include the regulation regarding public capital investment projects, as approved by Government Decision No. 684/2022. In addition, the Instruction on the evaluation of public capital investment projects was approved by Order of the Minister of Finance no. 69/2023, and the Working Group for public capital investments was

set up by Order of the Minister of Finance no. 87/2023. The new public investment planning regulation and investment project appraisal procedure (approved in October 2022) were put into effective implementation by the MoF in June 2024. The 2025 Budget included ten new projects: two eligible projects from the Project Pipeline while eight projects were under appraisal.

As reported in the EU Enlargement package country report 2024, Moldova has taken steps in amending legislation for procurement in the energy, water, transport and postal services; National Programme for Development of the Public Procurement System was adopted, and the mandate of the Public Procurement Agency was extended. Moldova needs to further align its legislation with the EU acquis, especially by aligning the laws on concessions and public-private partnerships. Moldova also needs to monitor low-value public procurement procedures more effectively. The efficiency and transparency of the public procurement system needs to be improved, including by designing and developing the new e-procurement system.

Moldova has also taken steps in establishing its anti-fraud system. On 7 May 2025 a government decision was adopted setting up a national anti-fraud system. The system will comprise three main components: the National Anti-Fraud Network, the whistle-blowing system and the responsible anti-fraud authority (the State Inspectorate of Financial Control, which will also become a contact point for cooperation with the European Anti-Fraud Office - OLAF). The network will include institutions, such as the State Chancellery, the Ministry of Finance, the Court of Accounts, the National Anti-Corruption Center, the National Bank, prosecution authorities and others.

Moldova has taken steps to align legislation with the EU acquis on VAT and excise duties. Legislation on direct taxation has yet to be aligned with the EU acquis and international best practice. Moldova is to step up procedures to limit tax avoidance and increase tax revenue, in particular by aligning legislation with the Anti-Tax Avoidance Directive (CFC rules). Significant efforts are needed to strengthen the administrative and operational capacity of the tax administration, including with the IT strategy on risk management and taxpayer compliance.

In conclusion, the public finance management reform strategy is sufficiently relevant and credible, including on domestic revenue mobilisation, and the eligibility criterion is met.

**Domestic Revenue Mobilisation**

There is continuous commitment of the authorities to improve domestic revenue mobilisation. The general budget revenue of Moldova as percentage of GDP (30%) remains lower than in its peers, indicating further revenue mobilisation potential. The IMF therefore expects the tax revenue to increase by more than 150% in nominal terms between 2022 and 2027. This growth is expected to be mainly due to an increase in domestic revenue collection, as in coming years official transfers (grants) are planned to decrease. The share of indirect taxes in total tax revenue is however expected to remain very high at 66-69%.

The new Customs Code was enacted by the Parliament on 24th of August 20215 and entered into force from 1 January 2024. It was developed with considerable EU support.

The new Code will substantially improve the quality of services provided by the Customs Service to business entities. More specifically:

[5] https://www.legis.md/cautare/getResults?doc_id=127802&lang=ro

- Data protection levels will considerably increase;
- Costs and delays related to the declaration of goods will be reduced;
- Risks of fraud and corruption will diminish through the online monitoring of customs operations and the reduction of the paper-based procedures.

The new Customs Code is aimed at longer-term facilitation for businesses through:

- Centralised customs clearance;
- Elimination fees for customs procedures;
- Deferment of the payments of customs duty and other import taxes;
- Reduction of the number of customs procedures and their reorganisation;
- Provision to the economic operators with the possibility to be informed in advance about customs decisions and enabling them to respond before a final customs decision is made, etc.

Under the recently adopted Reform Agenda, Moldova has taken numerous commitments to implement the new Customs Code with specific steps identified for 2025, 2026 and 2027.

Reforms to the tax administration are ongoing. International practices are in place in some areas, such as taxpayers assistance, electronic services. In other areas, such as the risk-based compliance management, Moldova made explicit reform commitments under the recently adopted Reform Agenda. Identified weaknesses include unreliable taxpayers register, limited risk based-focus for the audit, value-added tax (VAT) refund programs, outdated IT systems etc. Frequent changes in tax policy and tax rates are still common.

The VAT approximation road map and related recommendations providing for gradual alignment of the VAT regulation with the EU VAT Directive is a priority for the Ministry of Finance in 2025. While smuggling or non-declaration of goods and undervaluation schemes still exist and affect state revenue as well as competition and fair trade the authorities are taking steps to curb these activities.

In May 2024, Moldova joined the Inclusive Framework on BEPS and participated in the agreement to address the tax challenges arising from the digitalisation of the economy. Moldova will participate in the implementation of the BEPS package to tackle tax avoidance, improve the coherence of international tax rules and ensure a more transparent tax environment[6].

**Based on the analysis, it is concluded that there is satisfactory progress in the implementation of reforms to improve the public finance management, including domestic revenue mobilisation and continued relevance and credibility of the reform programme.**

### Transparency and oversight of the budget

The latest available Open Budget Survey (OBS) for 2023 was published in 2024. In this publication, Budget Transparency in Moldova is scored 81/100 ranking significantly better than

[6] https://www.oecd.org/en/about/news/announcements/2024/05/moldova-joins-the-inclusive-framework-on-beps-and-participates-in-the-agreement-to-address-the-tax-challenges-arising-from-the-digitalisation-of-the-economy.html

its peers and improving the score on the 2019 results.[7] The budget related information is accessible on the Ministry of Finance website with all related laws and regulations. The Ministry has prepared and published annual Citizens' Budgets on based on the enacted budgets[8] since 2015. Moldova has taken several commitments to further strengthen budget transparency under the recently adopted Reform Agenda.

In summary, during 2023-2025 the Government continued making publicly available budgetary documents, as presented in the table below.

Positive developments took place related to the budget oversight. The Moldovan Supreme Audit Institution - the Court of Accounts (CoA), developed and started the implementation of its new Development Strategy for 2021-2025. Additionally, a 2022-2024 Audit Strategy and the first ever communication strategy for the institution was finalised. In November 2024, the MoF approved the revised Concept and Action Plan for the development of the National Public Sector Accounting Standards (NPSASs). In addition to the annual audits of the State budget and the State Social and Compulsory Health Insurance Funds, and all the consolidated accounts of the Ministries, the Court of Accounts publishes audit reports mostly covering compliance issues. The first international Peer Review was successfully organised in 2022. The dedicated Public Financial Control Committee in the parliament is functioning, however, it could benefit from further support and empowerment. Under the recently adopted Reform Agenda, Moldova has taken a commitment to grant the CoA additional organisational, functional and financial, independence.

**PEFA and OBI scores**

| PEFA Assessment (2011 framework) | 2015 PEFA | 2022 PEFA | Progress |
|---|---|---|---|
| PI-6: Comprehensiveness of information included in budget documentation | A | A | No change |
| PI-7: Extent of unreported government operations | A | B+ | Deterioration |
| PI-10: Public access to key fiscal information | \|B | A | Improvement |
| PI-24: Quality and timeliness of in-year budget reports | C+ | B+ | Improvement |
| PI-25: Quality and timeliness of annual financial statements | C+ | D+ | Deterioration |
| PI-26: Scope, nature and follow-up of external audit recommendations | B+ | A | Improvement |

[7] https://internationalbudget.org/open-budget-survey/country-results/2021/moldova
[8] https://www.mf.gov.md/ro/buget/transparen%C8%9Ba-bugetar%C4%83/bugetul-pentru-cet%C4%83%C8%9Beni

| PEFA Assessment (2011 framework) | 2015 PEFA | 2022 PEFA | Progress |
|---|---|---|---|
| PI-27: Legislative scrutiny of the annual budget law | B+ | B+ | No change |
| **Open Budget Index** | **OBI 2017** | **OBI 2019** | **OBI 2021** |
| | 57 | 65 | 81 |

The 2024 Open Budget Survey [9] made three recommendations to improve transparency for Moldova:

- Pilot mechanisms to monitor budget implementation.
- Actively engage with vulnerable and underrepresented communities, directly or through civil society organizations representing them.
- Allow any member of the public or any civil society organization to testify during its hearings on the budget proposal prior to its approval.
- Allow members of the public or civil society organizations to testify during its hearings on the Audit Report.

Budget related information, including the Medium-Term Budget Framework for 2024-2026, approved by Government Decision No. 408 of 21 June 2023[10], is made publicly available in full, and it is easy to access through various official websites of the Ministry of Finance and Government.

The 2025 State Budget Law was approved by the Law no. 310 dated 27 December 2024.[11] In addition, two further budgetary amendments were adopted since then, in April and in June 2025. The budgetary documentation is complete and comprehensive. More specifically the documentation included:

- Explanatory Note with detailed and comprehensive information on the policies and macro-fiscal developments underlying the draft Budget;
- 18 tables providing all necessary macro-fiscal and budgetary data;
- Fiscal risks statement;
- Note on monitoring of SOEs;
- Text of the draft Law on the State Budget;
- 9 annexes to the draft Law on the State Budget.

The budgets of the State Social Insurance Budget and the Mandatory Health Insurance Fund are also published and made available:

- The State Social Insurance Budget for 2025[12] (Law of Parliament no. 304 dated 19 December 2024)

[9] https://internationalbudget.org/sites/default/files/country-surveys-pdfs/2023/open-budget-survey-moldova-2023-en.pdf
[10] https://www.legis.md/cautare/getResults?doc_id=138139&lang=ro
[11] https://www.legis.md/cautare/getResults?doc_id=146467&lang=ro
[12] https://www.legis.md/cautare/getResults?doc_id=146464&lang=ro

Starting from 2015, the Ministry of Finance also prepares and publishes an annual Citizens' Budget based on the enacted budgets. This practice continued in 2024 as well.[13]

[13] https://www.mf.gov.md/sites/default/files/BUGET%20cetateni%202024.pdf

Status budgetary documents

| Key Budget Document | Produced (Yes/No) | Published (website) Yes/No | Timeliness | Comprehensiveness and quality | Evolution since last disbursement |
|---|---|---|---|---|---|
| **MTBF 2025-2027 (*proxy pre-budget statement)*** | Yes | Yes<br><br>https://www.mf.gov.md/sites/default/files/documente%20relevante/CBTM%202025-2027.zip | The medium-term budgetary framework 2025-2027, approved by Government Decision No. 561/2024 on 7 August 2024.<br><br>(the deadline in the LPFFR 181 is 1 June) | Completely revised and improved framework and content since 2018-2020 MTBF.<br><br>Need to consider revising the calendar to make it more realistic. | Ensure consistent political engagement in the MTBF process. Adhere to the Budget Calendar. |
| **Draft 2025 Budget (Executive Budget Proposal)** | Yes | Yes<br><br>https://gov.md/sites/default/files/document/attachments/nu-1050-mf-2024_0.pdf | 2025 budget approved by the Government and submitted to the | Information is complete and comprehensive as far as the basic elements are concerned. | Further information needed on tax expenditures and fixed assets.<br><br>Address classification and disclosure issues. |

| Key Budget Document | Produced (Yes/No) | Published (website) Yes/No | Timeliness | Comprehensiveness and quality | Evolution since last disbursement |
|---|---|---|---|---|---|
| | | | Parliament on 4 December 2024<br><br>*(the deadline in the LPFFR 181 is 15 October)* | Fiscal Risk Statement has been added since the 2018 State Budget Law. | |
| **Enacted 2024 Budget** | Yes | https://www.legis.md/cautare/getResults?doc_id=140974&lang=ro | Enacted on 22 December 2023.<br><br>*(the deadline in the LPFFR 181 is 1 December*) | *As above* | *As above* |
| **In-year (monthly) 2024 Budget Execution reports** | Yes | https://mf.gov.md/ro/trezorerie/rapoarte-privind-executarea-bugetului/rapoarte-lunare | Yes, monthly reports | Information is complete and comprehensive. | Inclusion of budget comparator would be beneficial. The reports make helpful year on year comparisons, however. |

| Key Budget Document | Produced (Yes/No) | Published (website) Yes/No | Timeliness | Comprehensiveness and quality | Evolution since last disbursement |
|---|---|---|---|---|---|
| **Mid-year 2023 Budget Execution report** | Yes | https://mf.gov.md/ro/trezorerie/rapoarte-privind-executarea-bugetului/rapoarte-semianuale | The mid-year budget report for 2023 was published on 26 September 2023.<br><br>*(The deadline in the LPFFR 181 is 15 September*) | Complete and comprehensive, but lacking consistency in quality in the explanatory narrative. | The analysis and presentation of the review could be enhanced.<br><br>Prepare and publish consistently and with improved quality. |

| Key Budget Document | Produced (Yes/No) | Published (website) Yes/No | Timeliness | Comprehensiveness and quality | Evolution since last disbursement |
|---|---|---|---|---|---|
| **Year-end 2023 Budget Execution report** | Yes | Yes<br><br>https://mf.gov.md/ro/trezorerie/rapoarte-privind-executarea-bugetului/rapoarte-anuale | *The year-end budget execution report for 2022 was submitted to the Court of Accounts on 15 April 2023.*<br><br>*The report was published on the MoF website on 15 June 2023.*<br><br>*The deadline in LPFFR is 15 April.* | Information is complete and comprehensive, but not compliant with IPSAS / NPSAS.<br><br>The structure, content of information, and accompanying explanatory narrative could be improved. | IPSAS requires comparison of budget and actual where the budget is publicly available. |

| Key Budget Document | Produced (Yes/No) | Published (website) Yes/No | Timeliness | Comprehensiveness and quality | Evolution since last disbursement |
|---|---|---|---|---|---|
| **SAI Audit Report of 2023 Budget Execution** | Yes | Yes<br><br>https://ccrm.md/index.php/ro/curtea-de-conturi-a-publicat-raportul-anual-2023-80_93350.html | *The Audit Report was published on 16 September 2024.*<br><br>*(the deadline in the LPFFR 181 and Law on CoA is 1 June)* | Information is complete and comprehensive. The reports are compliance focussed and change little from year to year. Would benefit from greater emphasis on performance and systemic internal control issues. | Prepare and submit consistently by specified deadlines envisaged in the legislative framework; improve quality in line with INTOSAI standards |
| **Citizen's Budget 2024** | Yes | Yes<br><br>https://mf.gov.md/ro/categoria-documentului/citizens-budget | Yes | Good quality to-date in preparation and timely publication. Information is complete and comprehensive. | No immediate issues. |

**Based on the analysis, it is concluded that there is satisfactory progress with regard to the public availability of accessible, timely, comprehensive and sound budgetary information.**

**The macro-financial stability, PFM, and budget transparency criteria for the Republic of Moldova are confirmed as met.**

**Based on the analysis above, the preconditions and general eligibility criteria are confirmed as met.**

## 2. Review of the achievement of the steps in the Reform Agendas

The Commission has reviewed the information provided by the beneficiary and has no indication that the implementation of the steps contravenes the general principles outlined in Article 4 and 9(4) of Regulation (EU) 2025/535 and Article 3 of the Facility Agreement, or the 'Do No Significant Harm' principle (DNSH).

***Reform number 1: Open and competitive electricity market***

| | |
|---|---|
| **The step under review** | STEP 4: Nominated Electricity Market Operator designated. |
| **Description** | NEMO is designated to perform tasks related to single day-ahead and single intraday coupling in line with Commission Regulation (EU) 2015/1222 establishing a guideline on capacity allocation and congestion management (CACM). |
| **Baseline** | Currently no NEMO is designated |
| **Deadline of the step** | June 2025 |
| **Actual results** | The National Agency for Energy Regulation (ANRE) has designated the Energy Market Operator M Ltd Company (OPEM) as the electricity market operator.<br>Designation was based on the Decision of ANRE's Board of Directors No. 370 of 29 June 2025.<br>According to the Decision, ANRE conducted a diligence check of the Energy Market Operator M Ltd Company, concluding that it meets the requirements provided for in Art. $82^1$ paragraph (3) of Law no. 107/2016 on electricity and is liable to be designated |

| | |
|---|---|
| | as OPEED with the task of achieving the international coupling of the DAM and IDM markets.<br><br>Thereby, ANRE decides that for a period of four years, SRL "Operatorul Pieței de Energie M" is designated as the designated electricity market operator (OPEED).<br><br>**ANRE Decision is published on the website of ANRE:**<br><br>https://www.anre.md/storage/upload/administration/hcareports/4200/HCA%20al%20ANRE%20nr.%20370%20din%2029.06.2025%20,,Privind%20desemnarea%20SRL%20Operatorul%20P....pdf |
| **Conclusion of the review of the step by the beneficiary** | Beneficiary considers this step as met. |
| **Checks performed and evidence used in the verification of the step and related findings** | The evidence used to reach conclusions was a desk review of the Decision 370 and consultations with experts of the Chisinau Office of the Energy Community. |
| **Double funding** | No contribution from third parties was discovered. |
| **Clear conclusion on the achievement of the step** | Step was fully achieved within indicated timeline. |

***Reform number 1: Open and competitive electricity market***

| | |
|---|---|
| **The step under review** | *STEP 7:* Moldova VAT Law partially harmonized with the EU legislation, is adopted by the Parliament. |
| **Baseline** | Existing draft law non-harmonised with EU VAT law. |

| | |
|---|---|
| **Description** | Partial harmonization of Moldovan VAT legislation with those of the EU is necessary to eliminate, to the maximum extent possible, factors which may distort conditions of competition in the market, and which may lead to legal uncertainty. In particular, integration into SDAC, SIDC and EU Balancing platforms requires a high level of harmonization of applicable regimes of VAT in order to prevent non taxation, double taxation, tax evasion and tax fraud. This harmonized VAT reverse taxation regime is also envisaged by the EU-Moldova Association Agreement as one of the preconditions to create a level playing field between all market participants in the Moldovan electricity and gas market. |
| **Deadline of the step** | December 2025 |
| **Actual results** | On 13 June 2025, the Parliament of Moldova adopted in the second reading draft law amending certain normative acts (Fiscal Code no. 1163/1997 and Law no. 1417/1997 for the implementation of Title III of the Fiscal Code). The law includes the amendment to Title IV of the Fiscal Code, no. 1163/1997.<br><br>It transposes Articles 38, 39, 44, Article 59 letter (h), Article 143 paragraph (1) letter (b), Article 183, 195, Article 199a paragraph (1) letter (e), Article 207 and Article 226 paragraph (11a) of Council Directive 2006/112/EC on the common system of value added tax, published in the Official Journal of the European Union L 347/1 of 11 December 2006.<br><br>This implies amendments of Articles 93, 96, 101, 103, 104, 110, 111, 112, 115 and 117 of the Fiscal Code No. 1163/1997. As well as amendment of Article 4 of Law No. 1417/1997 for the implementation of Title III of the Fiscal Code.<br><br>The amendment achieves the reform's goal of bringing Moldovan VAT rules partly into line (given that Moldova has incorporated the EU VAT framework solely for the energy sector, even though it remains committed to transposing the Directive in full) with the EU framework. By aligning this segment, the reform removes the risk of double taxation, non-taxation or inconsistent treatment across borders and paves the way for Moldova's seamless participation in the Single Day-Ahead Coupling (SDAC), Single Intraday Coupling (SIDC), EU balancing platforms, as well as country's integration into the regional gas markets.<br><br>Thelaw establishes new place-of-supply rules that distinguish between wholesale transactions and final consumption. For gas and electricity traded before the final stage of consumption, the place of supply is deemed to be the location of the customer's establishment; for deliveries to end-users, it is the place where the goods are actually used and consumed. This change mirrors EU practice and ensures that cross-border business-to-business trades are taxed once, in the customer's jurisdiction, while retail customers are taxed where they take delivery. |

| | |
|---|---|
| | Equally important is the introduction of a reverse-charge mechanism for VAT on business-to-business supplies. Under this mechanism, the obligation to account for VAT shifts from the supplier to the purchaser, eliminating cash-flow hurdles for traders and closing loopholes exploited in "carousel" fraud schemes—an essential safeguard when markets are coupled and volumes increase. The draft law also incorporates the EU concepts of "collected VAT" and "deductible VAT", providing operators with clear rules for output tax and input tax recovery and creating the predictable fiscal environment required for integrated energy trading.<br><br>By transposing these elements of EU law, Moldova removes a key barrier to cross-border transactions, fosters legal certainty for market participants and fulfils the Association Agreement's and Reform Agenda's objective of establishing a level playing field in the electricity and gas sectors. The amendments will help prevent non-taxation and double taxation, facilitate competitive trading across borders and underpin the country's credibility as it deepens its participation in regional energy markets. |
| **Conclusion of the review of the step by the beneficiary** | Beneficiary considers this step as met. |
| **Checks performed and evidence used in the verification of the step and related findings** | The evidence used to reach conclusions was a desk review of the draft law amending certain normative acts (Fiscal Code no. 1163/1997 and Law no. 1417/1997 for the implementation of Title III of the Fiscal Code, published on the website of the Parliament LP139/2025), and consultations with experts of the Chisinau Office of the Energy Community. |
| **Double funding** | No contribution from third parties was discovered, even if the draft law was reviewed by experts from the Energy Community Secretariat within the EU funded project EU4Enegy phase II. As per the double funding guidance of the Moldova Facility, since no external provider could substitute the authorities in the actual adoption process underpinned by the political act and considering also that the experts did only review but not draft the law, there is no risk of double funding. |
| **Clear conclusion on the achievement of the step** | Step was fully achieved within indicated timeline. |

***Reform 2: Open and competitive gas market***

| | |
|---|---|
| **The step under review** | *STEP 9:* The supplier of the last resort/universal gas supplier is appointed by ANRE, based on the transparent and non-discriminative procedure. |
| **Description** | ANRE organises a tender, in a transparent and non-discriminatory manner, with price of the activity as the main input for a supplier of last resort/universal gas supplier and selects the winner. |
| **Baseline** | Existing legal framework<br><br>(ANRE Decisions no. 487/2019 and no. 578/2024.) |
| **Deadline of the step** | December 2025 |
| **Actual results** | The National Agency for Energy Regulation, based on the Decision No. 248 of 23-05-2025, imposed on Energocom a public service obligation for a period of three years.<br><br>The transparent and non-discriminative selection procedure was launched on 17 April 2025. Out of 33 license holders for the activity of supplying natural gas, only two suppliers (LLC "Transautogaz" and JSC "Energocom") expressed interest in participating in the selection procedure.<br><br>On 14 May 2025, the Commission for the selection of the public service provider(s) found that a candidate (LLC "Transautogaz") does not meet the eligibility criteria, as it does not have the necessary working capital during a year of activity, and the ratio between borrowed capital and equity does not constitute at least 50% of own sources. The Selection Committee decided to return the application and not admit the respective supplier to the evaluation stage.<br><br>In this context, due to the insufficient number of applications to guarantee a minimum competition, the procedure for selecting the natural gas supplier/suppliers to ensure the execution of the public service obligations was terminated.<br><br>In these circumstances, according to Article 89 para. (21) and Article 90 para. (21) of Law no. 108/2016, the Agency shall designate a supplier that will supply natural gas to certain categories of final consumers at the established quality parameters, at regulated, transparent, non-discriminatory and easily comparable prices by decision.<br><br>Gas supplier should meet at least the following conditions:<br><br>a) actively operates on the natural gas market in the Republic of Moldova;<br><br>b) has one of the highest cumulative turnovers of natural gas supply within the natural gas market of the Republic of Moldova in the last calendar year preceding that of a designation procedure; |

| | |
|---|---|
| | c) is separate from any other activities not related to the trading and supply of natural gas;<br><br>d) demonstrates, through confirmatory documents, the availability of sources for the supply of the necessary quantities of natural gas.<br><br>Based on the examination against above criteria ANRE found that only the supplier JSC "Energocom" within registered suppliers of natural gas in Moldova is eligible to be examined as a candidate for the imposition of the respective public service obligations. |
| **Conclusion of the review of the step by the beneficiary** | Beneficiary considers this step as met. |
| **Checks performed and evidence used in the verification of the step and related findings** | The evidence used to reach conclusions was a desk review of the Decision No. 248 of 23-05-2025 (HANRE 248/2025) and consultations with experts of the Chișinău Office of the Energy Community. |
| **Double funding** | No contribution from third parties was discovered. |
| **Clear conclusion on the achievement of the step** | Step was fully achieved within indicated timeline. |

***Reform number 3: Guaranteeing security of supply***

| | |
|---|---|
| **The step under review** | STEP 11: ANRE takes a decision concerning re-submitted opinion of the Ministry and considers re-opening of the certification on Vestmoldtransgaz in regards the transmission system ownership. |
| **Description** | ANRE takes a decision by Quarter 3 2025, on transferring the ownership of the network from Moldovagaz, to an entity not related to supply, trade, or distribution of gas. |

| | |
|---|---|
| | |
| **Baseline** | Existing opinion (HANRE Decision No. 513/ 2024 regarding the certification of the system operator of natural gas transport LLC "Vestmoldtransgaz) |
| **Deadline of the step** | December 2025 |
| **Actual results** | The opinion of the Ministry of Energy was submitted by letter No. 07-606 of 4 March 2025 concerning the situation regarding the security of natural gas supply.<br><br>Subsequently, the Board of Administration of the National Energy Regulation Agency took the Decision No. 178 of 08-04-2025 on the amendment of Decision No. 513 of 23.08.2024 regarding the certification of the system operator transportation of natural gas LLC "Vestmoldtransgaz". After the submission of the Ministry's letter on the SOS related aspect (Article 11 of the Directive 73), as stated by MD under the Letter of Intent, where the authority highlighted that the SOS context has substantially changed, **ANRE adopted an amendment to its Decision 513/2024 on VMTG certification.**<br><br>ANRE's Decision assumes that owners of the transmission networks JSC "Moldovagaz" and LLC "Moldovatransgaz" should comply with the requirements of art. 28 of Law no. 108/2016, through the functional, decision-making and legal form of organization separation from other activities not related to the transportation, distribution or storage of natural gas, by 31.07.2025. |
| **Conclusion of the review of the step by the beneficiary** | Beneficiary considers this step as met. |
| **Checks performed and evidence used in the verification of the step and related findings** | The evidence used to reach conclusions were the two sources of verification established in the Reform Agenda (Opinion of the Ministry of Energy on the security of supply situation; ANRE's certification Decision published on the website (**Decision 178 HANRE 178/2025**))- and consultations with experts of the Chișinău Office of the Energy Community. |
| **Double funding** | No contribution from third parties was discovered. |

| | |
|---|---|
| **Clear conclusion on the achievement of the step** | Step was fully achieved within indicated timeline. |